Quick Recall: Asymmetric Information

- Sometimes one side knows more than the other
- This creates unfair decisions
- Markets don’t work well when information is hidden
- Tiny story: Imagine buying a chocolate wrapped in paper. Only the shopkeeper knows if it’s fresh or expired. You’re guessing!

What Changed With Digital Markets?

- Before digital markets: ask seller → trust their words
- No easy comparison, limited information
- After digital markets: search before buying, read reviews, compare prices in seconds
- Analogy: Earlier buying with eyes closed → Now buying with Google in your pocket 📱

How Digital Platforms Reduce Information Gaps

- Digital platforms act like information helpers
- Show prices, quality signals, past experiences of users
- Example: Buying a phone online → star ratings, written reviews, photos from real users
- You no longer rely only on the seller

Online Search Engines (Real Power)

- Search engines help you ask the market questions
- Which product is cheaper? Which seller is trusted? What do others say?
- Real examples: Google → “best laptop under 80k”, Amazon → “top rated headphones”, Daraz → “most ordered item”
- Information gap becomes smaller

Used Car Market — Old vs Digital

- Old market: seller knows car condition, buyer hopes for best, high risk of 'lemons'
- Digital market: car history reports, seller ratings, user reviews
- Result: less cheating, more trust, more trades happen
- Markets become healthier

Effect on Prices and Competition

- Sellers can’t overcharge easily
- Buyers compare quickly
- Bad sellers lose customers
- Example: Flight tickets → same flight, different prices, you choose the cheapest trusted option
- Prices move closer to 'fair value'

But… Is the Problem Fully Gone?

- Not really 😄
- New problems appear: fake reviews, sponsored rankings, hidden algorithms
- Fun example: The 'best product' might be not the best, just the most promoted
- This leads us directly to the next lectures

Connection to Lecture 4 (AI & Information Economics)

- Digital markets created too much information
- Who will process all this data for us? → AI
- AI reads reviews, predicts what you like, recommends products
- AI becomes the new decision helper

Connection to Lecture 5 (Consumer Choice)

- Earlier: you searched yourself
- Now: platforms suggest choices
- Example: Netflix → shows what it thinks you'll like, not everything
- Choice still exists, but it's guided choice

Connection to Lecture 6 (Labor Markets)

- Some jobs disappear (middlemen)
- New jobs appear (data, AI, platforms)
- Example: Travel agent ↓, Online booking ↑, Data analysts ↑
- Information changes who works and how

Connection to Lecture 7 (Intellectual Property)

- Information is easy to copy and share
- Digital markets spread information fast
- Problem: if copying is free, why create?
- Copyright, patents, platform rules become important

The Big Picture

- Think of the economy as a game:
- Lecture 1: What is information?
- Lecture 2: Why hidden info breaks the game
- Lecture 3: How digital markets fix some problems
- Lecture 4: AI becomes the brain
- Lecture 5: Choices are guided
- Lecture 6: Jobs change
- Lecture 7: Rules are needed

One Line to Remember

- Digital markets reduce information gaps — but they also create new power structures
- That’s the story of modern economics of information 🌍